WEEK 6 · LECTURE L1 · UNITS I AND II

Psychological Contracts and Trust Repair

Rousseau's psychological contract, breach and violation, the integrative model of trust, and how trust is repaired.

R K Singh · Senior Professor, Department of Commerce · Delhi School of Economics, University of Delhi

DSEH004 · Performance Management and Employee Engagement · M.Com. PGCF 2025 · Exam preparation edition

AFTER THIS LECTURE YOU SHOULD BE ABLE TO

What this lecture prepares you for

- Define the psychological contract and distinguish transactional from relational contracts.
- Distinguish breach from violation, and explain how violation develops.
- Apply the ability, benevolence and integrity model of trust.
- Recommend a trust repair strategy for competence and integrity failures.

COURSE OUTCOMES

CLO 2 (apply engagement strategies) and CLO 4 (analyze data and design interventions).

COMMIT BEFORE THEORY

If HR never promised it, employees cannot feel betrayed when it does not happen.

Agree or disagree.

Rousseau's psychological contract

DEFINITION

An individual's beliefs about the terms of an exchange with the organization, including what was only implied.

TRANSACTIONAL

Specific, short term and economic: pay for performance.

RELATIONAL

Open ended and broad: loyalty and development in return for commitment.

Two different experiences

BREACH

A cognitive judgment that the organization failed to meet an obligation.

VIOLATION

The emotional response, anger and betrayal, that may follow a breach.

TWO SOURCES

Reneging, when the firm knowingly fails; incongruence, when the two sides understood the promise differently.

THEORY IN DEPTH · ZHAO ET AL. (2007)

What breach does

THE CORE IDEA

Psychological contract breach harms attitudes and behavior at work.

HOW IT WORKS

Breach related to mistrust, violation, lower satisfaction, commitment and performance, and higher turnover intentions.

LIMITS AND CRITIQUE

Mostly cross sectional self reports, so the order of cause is not certain.

IN PRACTICE

A firm drops a promised promotion cycle during a cost cut; the best performers start looking elsewhere.

EXAM LENS

Cite it for the consequences of breach. Strong answers explain the emotional path through violation.

THEORY IN DEPTH · MAYER, DAVIS AND SCHOORMAN (1995)

What trust is built from

THE CORE IDEA

Trust is the willingness to be vulnerable to another, based on positive expectations of that party's actions.

HOW IT WORKS

Three qualities of the trustee shape it: ability, benevolence and integrity, alongside the trustor's propensity to trust.

LIMITS AND CRITIQUE

A conceptual model; the factors overlap in practice and are hard to separate in surveys.

IN PRACTICE

Staff trust a new manager's ability within weeks; benevolence takes months of visible behavior.

EXAM LENS

Use it to diagnose which dimension of trust a change damaged. Add Rousseau et al. (1998) for a cross discipline definition.

THEORY IN DEPTH · KIM ET AL. (2004)

Repairing trust

THE CORE IDEA

Whether to apologize or deny depends on what kind of trust was violated.

HOW IT WORKS

Apology repaired trust better after a competence violation; denial worked better after an integrity violation.

LIMITS AND CRITIQUE

Laboratory study of hiring decisions; real violations are often mixed.

IN PRACTICE

After a payroll error, an apology plus a fix works. After a hidden policy change, apology alone may confirm bad intent.

EXAM LENS

Use it to recommend specific repair steps. Name the violation type before choosing the response.

COMPARE AND EVALUATE

Employees distrust a new performance system

Theory	Reading	Response
Psychological contract	A relational promise feels broken	Name the promise; renegotiate openly
Trust model	Doubt about benevolence or integrity	Visible, costly signals of good intent
Job Demands Resources	New demands without resources	Remove hindrances before adding tools

PRACTICE FOR THE END TERM EXAMINATION

Questions to rehearse

"A new performance system fails when it breaks the psychological contract." Discuss with theory and evidence. **20 marks**

A strong answer: defines the contract; uses Morrison and Robinson and Zhao et al.; links to trust; proposes how to introduce change without breach.

A firm must restore trust after a failed appraisal reform. Recommend a strategy. **20 marks**

A strong answer: uses Mayer et al. to diagnose; Kim et al. to choose apology or denial; plans visible actions; notes the time trust takes.

Distinguish psychological contract breach from violation. **10 marks**

A strong answer: cognitive versus emotional; how one leads to the other; one example.

CARRY THESE INTO THE EXAMINATION

Three things to remember

1. Implied promises count as much as written ones
2. Breach is a judgment; violation is an emotion
3. Apologize for competence failures; integrity failures need more than words

SET READINGS · FROM THE LESSON PLAN

Read for this lecture

Rousseau, D. M. (1995). *Psychological contracts in organizations: Understanding written and unwritten agreements*. Sage. Introduction.

Mayer, R. C., Davis, J. H., & Schoorman, F. D. (1995). An integrative model of organizational trust. *Academy of Management Review, 20*(3), 709–734.

Schaufeli, W. B., & Bakker, A. B. (2004). Job demands, job resources, and their relationship with burnout and engagement: A multi sample study. *Journal of Organizational Behavior, 25*(3), 293–315. Reread for interpreting pulse data.

HOW TO USE THESE

These are the Week 6 set readings. Rousseau (1995) and Mayer et al. (1995) are the core readings for this lecture. The Lesson Plan also lists a synthesis review of Buckingham and Goodall (2015), Doerr (2018) and Cappelli and Tavis (2016); it is good revision for Unit I.

THEORY SOURCES · FOR REFERENCE

Sources for this lecture (1 of 2)

Works named on the slides of this lecture. They are background sources, not set readings.

Kim, P. H., Ferrin, D. L., Cooper, C. D., & Dirks, K. T. (2004). Removing the shadow of suspicion: The effects of apology versus denial for repairing competence versus integrity based trust violations. *Journal of Applied Psychology, 89*(1), 104–118. https://doi.org/10.1037/0021-9010.89.1.104

Mayer, R. C., Davis, J. H., & Schoorman, F. D. (1995). An integrative model of organizational trust. *Academy of Management Review, 20*(3), 709–734. https://doi.org/10.2307/258792

Morrison, E. W., & Robinson, S. L. (1997). When employees feel betrayed: A model of how psychological contract violation develops. *Academy of Management Review, 22*(1). https://doi.org/10.2307/259230

Sources for this lecture (2 of 2)

Rousseau, D. M. (1989). Psychological and implied contracts in organizations. *Employee Responsibilities and Rights Journal, 2*(2), 121–139. https://doi.org/10.1007/bf01384942

Rousseau, D. M. (1995). *Psychological contracts in organizations: Understanding written and unwritten agreements*. Sage.

Rousseau, D. M., Sitkin, S. B., Burt, R. S., & Camerer, C. (1998). Not so different after all: A cross discipline view of trust. *Academy of Management Review, 23*(3), 393–404. https://doi.org/10.5465/amr.1998.926617

Zhao, H., Wayne, S. J., Glibkowski, B. C., & Bravo, J. (2007). The impact of psychological contract breach on work related outcomes: A meta analysis. *Personnel Psychology, 60*(3), 647–680. https://doi.org/10.1111/j.1744-6570.2007.00087.x